

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING

Complainants

VERSUS

DB SCHENKER USA, INC.

Respondent

**COMPLAINANTS' POST-HEARING BRIEF, PROPOSED FINDINGS OF FACT, AND
APPENDIX**

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I. INTRODUCTION

This dispute involves a systemic failure by the Respondent, DB Schenker USA, Inc., to fulfill its professional and legal duties as a licensed Non-Vessel Operating Common Carrier (NVOCC). The Complainants, IWG International Wood Group of SC and Honest Trading International LLC, bring this action following a series of repeated administrative negligence, unjustified communication delays, and critical documentation errors involving multiple shipments.

The evidence demonstrates that the Respondent consistently violated 46 U.S.C. § 41102(c) by failing to establish and observe just and reasonable practices relating to the handling and delivery of property.

Specifically, the Respondent:

- Engaged in unjustified periods of silence, including a 21-day gap in communication despite urgent follow-ups.
- Mismanaged Letter of Credit (LC) protocols by misrouting documents and failing to include mandatory commercial paperwork in bank couriers.
- Issued inaccurate Bills of Lading and lost original regulatory certificates, such as the Phytosanitary Certificate, which blocked cargo clearance.

Because these operational failures were the sole cause of the \$805,547.98 in cumulative damages—including demurrage, detention, and lost contract value—the Commission should rule in favor of the Complainants and award full reparations.

II. STATEMENT OF THE CASE / BACKGROUND

This dispute arises from a series of systemic operational failures by the Respondent, DB Schenker USA, Inc., occurring between March 2024 and May 2025. The following chronological account details the events across five specific Subject Shipments that led to the Complainants' financial injuries:

1. The 2025 Shipments: Early Documentation Failures

Between March and May 2025, Complainants managed three primary bookings (YHU25912806, YHU25912853, and YHU25912863). During this period:

- Booking YHU25912806: Respondent misrouted Letter of Credit (LC) documents directly to the buyer's bank on May 5, 2025, violating bank-to-bank routing terms. Furthermore, Respondent failed to properly endorse the Original Bill of Lading (OBL) by May 20, 2025.
- Booking YHU25912853: Despite receiving instructions to correct consignee details between March 28 and April 17, 2025, Respondent remained unresponsive, leading to the expiration of the LC.
- Booking YHU25912863: Respondent issued inaccurate OBLs with weight discrepancies and failed to comply with LC requirements, resulting in the LC expiring on May 7, 2025.

2. Shipment #2154787640: The 21-Day Silence

In early 2025, the pattern of negligence intensified during the handling of Shipment #2154787640:

- Instruction Phase: IWG provided all necessary invoices and certificates starting February 24, 2025.
- The Communication Gap: Following the approval of the draft Bill of Lading on March 20, 2025, the Respondent provided no updates or actions for 21 days, despite repeated follow-ups from Complainant March Marande.
- Banking Error: On April 15, 2025, the buyer's bank confirmed that the Respondent's courier contained only the Bill of Lading, omitting the Commercial Invoice, Packing List, and Phytosanitary Certificate. This incomplete submission blocked cargo clearance at the destination.

3. Shipment RICFE2007400: Administrative Blockage

The final shipment in this dispute (RICFE2007400) was marked by a total breakdown in professional practice:

- Data Accuracy: Respondent manifested the Bill of Lading with incorrect weights despite being provided the correct packing list data on March 7, 2025.
- Financial Obstruction: In May 2025, the carrier (ONE) informed Complainants that the telex release was being withheld because the Respondent had failed to settle their own administrative fees.

4. Resulting Financial Damages

As a direct result of these delays, lost certificates, and misrouted documents, the Complainants were unable to mitigate mounting costs:

- Reparations Sought: The total injury amounts to \$805,547.98, which includes carrier demurrage/detention, storage fees, and forced price reductions granted to buyers to prevent total contract cancellation.

III. LEGAL STANDARD

The Complainants' claims are governed by the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 2022 (OSRA). The primary legal standard applicable to this dispute is found in 46 U.S.C. § 41102(c), which establishes the duty of care for ocean transportation intermediaries.

1. The Requirement for Just and Reasonable Practices

Under 46 U.S.C. § 41102(c), a common carrier or ocean transportation intermediary (including an NVOCC such as the Respondent) "must establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property".

To establish a violation of this section, the Commission generally looks for:

- A Practice or Regulation: A pattern or instances of conduct that are not just or reasonable in the context of professional shipping standards.
- Professional Negligence: Conduct that falls below the standard of a reasonably diligent professional, such as misrouting documents or failing to respond to urgent communications.

2. The Burden of Proof

As the Complainants, IWG and Honest Trading bear the burden of proving that:

- The Respondent's actions (or lack thereof) were "unreasonable" given the industry standards for documentation and communication.
- There is a direct causation between the Respondent's failures and the financial harm suffered, such as demurrage and lost contract value.

3. Reparations and Mitigation

Under 46 U.S.C. § 41305, the Commission may award reparations for "actual injury" caused by a violation of the Shipping Act. While the Respondent may argue a "failure to mitigate," the legal standard holds that a Complainant is only required to take *reasonable* steps to minimize damages. As established in the Statement of the Case, Complainants were prevented from mitigating costs because the Respondent withheld or mismanaged the essential documents required to release the cargo.

IV. ARGUMENT

A. Respondent Engaged in an Unreasonable Practice

The evidence established during the hearing and through discovery demonstrates a pervasive pattern of administrative negligence that violates 46 U.S.C. § 41102(c). The Respondent's conduct cannot be characterized as "just and reasonable" for the following reasons:

- Gross Administrative Negligence: Respondent's staff admitted to being "unaware" of the mandatory requirement to include a Commercial Invoice and Packing List in a Letter of Credit (LC) bank courier. This lack of basic professional knowledge led to the rejection of document sets and stalled the entire payment chain.
- Systemic Failure in Communication: The "21-day silence" between February 25 and March 18, 2025, constitutes a total abandonment of professional duty. During this period, IWG's repeated follow-ups were ignored while the cargo sat at the port, incurring avoidable charges.
- Mishandling of Original Regulatory Documents: The Respondent's loss of the original Phytosanitary Certificate necessitated a time-consuming reissuance process, directly delaying the arrival of the final document package at the destination bank.
- Violation of Explicit Banking Protocols: By misrouting original LC documents directly to the buyer's bank—bypassing the secure bank-to-bank routing terms—the Respondent invalidated the financial protections established by Honest Trading International LLC.

B. Respondent's Conduct Caused Financial Harm to Complainants

The financial injury suffered by Complainants was a direct and foreseeable consequence of Respondent's documentation errors and unresponsiveness:

- Incurred Demurrage and Detention: Complainants were forced to bear the cost of carrier-imposed penalties because the Respondent's errors prevented the timely release of cargo.
- Prevented Mitigation: Complainants were legally and physically unable to minimize damages because the carrier (ONE) withheld releases due to the Respondent's failure to settle their own administrative fees.
- Contractual Devaluation: To prevent total contract cancellation following these extensive delays, IWG was forced to grant a \$2,400.00 price reduction to the buyer, which represents a direct loss of profit caused by the Respondent.
- Loss of Financial Security: The Respondent's failure to comply with LC terms forced a shift to unsecured T/T payment terms, exposing the financier, Honest Trading, to significant and unnecessary risk.

C. Supporting Evidence

The Complainants rely on the following primary sources of evidence to prove these violations:

- Contemporaneous Email Logs: Verified records maintained by March Marande showing the specific dates of Respondent's silence and the repeated warnings sent by IWG.
- Bank Notifications: Letters from the destination banks confirming that document sets received from the Respondent were incomplete (e.g., April 15, 2025, confirmation).
- Verified Complaint & Interrogatories: Detailed factual bases for each shipment error, verified under oath by Steven Craig Swilley and Sam Zhong.
- Carrier Documentation: Notices from shipping lines (ONE) indicating that cargo release was blocked by the Respondent's administrative and financial defaults.

V. CONCLUSION

Based on the extensive factual record and the legal arguments presented, the Complainants, IWG International Wood Group of SC and Honest Trading International LLC, have demonstrated that the Respondent, DB Schenker USA, Inc., repeatedly violated 46 U.S.C. § 41102(c). The Respondent's pattern of administrative negligence, systemic communication failures, and mismanagement of secure financial documentation constitutes a clear breach of the professional standards required of a licensed NVOCC.

These "unjust and unreasonable" practices were the direct and proximate cause of the financial injuries sustained by the Complainants across five subject shipments. Consequently, the Complainants respectfully request that the Federal Maritime Commission grant the following relief:

- Actual Reparations: An award of \$805,547.98 to compensate for actual injuries, including carrier demurrage and detention charges, lost cargo value, and administrative costs.

- Interest: Pre-judgment and post-judgment interest on the total award, calculated from the date of the injury as permitted under 46 U.S.C. § 41305.
- Attorney Fees and Costs: Reasonable attorney fees and the costs of this proceeding, should the Commission find such an award appropriate under the Shipping Act.
- Cease and Desist: An order directing the Respondent to cease and desist from the specific unreasonable practices identified in this brief to prevent future harm to the shipping public.

The Complainants have verified that the facts stated in this brief and the supporting documentation are true and correct to the best of their knowledge.

VI. PROPOSED FINDINGS OF FACT

1. IWG provided Respondent with complete shipping instructions and commercial documents for Shipment #2154787640 starting on February 24, 2025. (Appendix E CX-068)
2. Respondent had no update from February 25, 2025 to March 18, 2025 regarding the draft documents for Shipment #2154787640. (Appendix E CX-067)
3. Complainant formally approved the draft Bill of Lading for Shipment #2154787640 on March 20, 2025. (Appendix E CX-067)
4. Respondent failed to provide any status updates or take further action on Shipment #2154787640 between March 20, 2025, and April 10, 2025, despite repeated follow-ups. (Appendix E CX-068)
5. Respondent failed to include the Commercial Invoice, Packing List, and Phytosanitary Certificate in the bank courier for Shipment #2154787640. Respondent's staff stated they were "unaware" of the requirement to send commercial documents with the Bill of Lading to the bank. (Appendix E CX-068)
6. Respondent manifested the Bill of Lading for Shipment RICFE2007400 with a discrepancy. (Appendix D CX-052 & CX-054)
7. The carrier, ONE, informed Complainants in May 2025 that the telex release for Shipment RICFE2007400 was withheld due to Respondent's unpaid administrative fees. (Appendix D CX-050 & CX-063)
8. Respondent misrouted Letter of Credit documents for Booking YHU25912806 directly to the buyer's bank on May 5, 2025, violating bank-to-bank routing terms. (Appendix A CX-010)
9. Respondent failed to endorse the Original Bill of Lading for Booking YHU25912806 and YHU25912853 and lost the Original Bill of Lading for Booking YHU25912806, requiring a Letter of Indemnity (LOI) to be filed. (Appendix A CX-005)
10. The Letter of Credit for BNBMG bookings expired triggered by Respondent failures or delays and caused termination of agreement. (Appendix G CX-073)
11. Respondent would like the Complainant to sign Indemnification Hold Harmless. (Appendix A CX-007)
12. Shipments incurred detention and demurrage charges and one of the shipments, YHU25912806, was abandoned. (Appendix A CX-006) (Appendix B CX-023)

VII. APPENDIX INDEX

- Appendix A – SHIPMENT YMJAE165376334 (YHU25912806): Documentation regarding the 5-container shipment, including records of the misrouted bank documents and endorsement failures.
- Appendix B – SHIPMENT YMJAE165376232 (YHU25912853): Records for the 10-container shipment, including documenting the 10-day delay in correcting consignee details.
- Appendix C – SHIPMENT YMJAE165375938 (YHU25912863): Evidence for the 8-container shipment, including the \$4,090.26 price discrepancy caused by incorrect weight manifesting.
- Appendix D – SHIPMENT ONEYRICFE2007400: Communications regarding the incorrect weight manifest and the carrier's refusal to release cargo due to Respondent's unpaid fees.
- Appendix E – SHIPMENT 2154787640: The complete email log documenting the 21-day "blackout" period and the bank's confirmation of the incomplete document courier.
- Appendix F – Financial Damage Summary and Invoices: A detailed ledger of all actual injuries totaling \$805,547.98, supported by carrier invoices for demurrage/detention and debit notes for buyer price reductions.
- Appendix G - Termination of Agreement between Honest Trading and customer BNBMG, signed and stamped by Honest Trading.

VERIFICATION STATEMENT

I have read the foregoing complaint(s), including all supporting documentation and statements referenced therein, and to the best of my knowledge, information, and belief, the facts stated therein are true and correct.


Signature:

Name: Steven Craig Swilley

Title: Owner

Company: IWG International Wood Group

Address: 255 Ridgeville Rd | Ridgeville, SC 29472

Phone: +1 (409) 504-1025

Email: cs@iwgcorp.com

Signature:

For and on behalf of
HONEST TRADING INTERNATIONAL, LLC


.....
Authorized Signature(s)

Name: Sam Zhong

Title: Manager

Company: Honest Trading International LLC

Address: 326 Gold Kist Road, Cloyo, GA 31303

Phone: +1 (347) 827-9077

Email: sam@bb-usa.org

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served on
March 19, 2026, via electronic mail, which shall notify all parties of record on this matter.

By:



Craig Swilley